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Method of deriving the rectifying entries

	Wrong Entry	Correct Entry	Rectifying Entry
a	Nil (Complete Omission)	Anand A/c Dr. 1,000 To Sales A/c 1,000	Anand A/c Dr. 1,000 To Sales A/c 1,000
b	Machinery A/c Dr. 400 To Cash A/c 400	Repairs A/c Dr. 400 To Cash A/c 400	Repairs A/c Dr. 400 To Machinery A/c 400
c	Gandhiraj A/c Dr. 2,000 To Cash A/c 2,000	Salary A/c Dr. 2,000 To Cash A/c 2,000	Salary A/c Dr. 2,000 To Gandhiraj A/c 2,000

Note

a	In this case, it is credit sale of goods to Anand not entered in the sales book. As it is not entered in the sales book, it has affected both sales account and Anand's account. It is an error of complete omission. As it is not entered in the sales book, when the total of sales book was posted to the credit side of sales account, this amount of ` 1,000 would not have been credited. Hence, the sales account is yet to be credited with ` 1,000. As it is not entered in the sales book, the amount would not have been posted to the debit side of Anand's account. Hence, it is to be debited to Anand's account. Hence, the error is rectified by passing a rectifying journal entry in which Anand's account is debited with ` 1,000 and sales account is credited with ` 1,000.
b	In this case, the amount paid for repairs to machinery has been wrongly posted to machinery account. The error is only in posting. It means that it is entered in the cash book but the amount is posted to the debit of machinery account instead of repairs account. It is an error of principle. A revenue expense (repairs) is treated as a capital expenditure (machinery). The effect of this error is wrong debit to machinery account instead of repairs account. Both machinery account and repairs account are affected. Hence, the error is rectified by passing a rectifying journal entry in which repairs account is debited with ` 400 and machinery account is credited with ` 400.
c	In this case, salary paid to Gandhiraj was wrongly debited to Gandhiraj's account. The error is only in posting. It means that it is entered in the cash book but the amount is posted to the debit of Gandhiraj's account instead of salaries account. It is an error of principle. A personal account is debited (Gandhiraj's account) in place of a nominal account (salaries account). The effect of this error is wrong debit to Gandhiraj's account instead of salaries account. Both salaries account and Gandhiraj's account are affected. Hence, the error is rectified by passing a rectifying journal entry in which salaries account is debited with ` 2,000 and Gandhiraj's account is credited with ` 2,000.